

That case could have swung either way, but the learned counsel Shri Ashim Sood managed to use some cunning arguments including the RBI ban being a hindrance to the adoption of blockchain technologies, and managed to convince the judges that the RBI ban was not carefully considered, or to put it more bluntly, the RBI did not have a clue what it was doing. The judges asked the RBI to demonstrate how virtual currencies had damaged it in any way, and they were unable to do so. On March 5, 2020, the Supreme court lifted the “blanket ban” and called it disproportionate. This is one of those landmark judgements that will set a precedent for future judgements in India, and is expected to be a reference for similar judgements worldwide, especially among developing nations. It is simple to read, is structured like the screenplay of a movie, has a healthy sense of humour, provides all the background details needed and is just brilliant. Unfortunately, the outcome is a spoiler alert because the judgement is misleading and seems to be actually supporting the ban for most of the way. It contains ideas of creation myths, DNA sequencing, vedas and virtual currencies all in one go. The judgement is worth reading just for the harsh criticism of the RBI, such as this one saying in legalese that the ban was unjustified because the RBI did not know what they were doing: “No study was undertaken by RBI before the impugned measure was taken and hence, the impugned decisions are not even based upon knowledge or expertise.” Interested readers can find it here (<http://dgit.in/cryptoj>). The crypto industry celebrated on social media as South Korea lifted a ban a day later. A fresh batch of ponzi schemes also celebrated by organising crypto giveaways.

By this time there were already efforts within the RBI to develop its own virtual currency, then known as the Digital Rupee. In 2019, the Finance Ministry drafted a bill that was never introduced in Parliament. In that bill, using, holding,

mining, dealing and even disposing cryptocurrencies were all made criminal offences. The bill had a provision that allowed the RBI to notify a “foreign digital currency”, as a foreign currency. While the draft bill refers to cryptocurrencies as “virtual currencies” most of the time, it does refer to them once as “digital currencies”. The version listed in parliament on January 30 this year, comes after a year of aggressive investment in cryptocurrencies and the crypto industry following a liberalisation of the regime, in the general backdrop of increased digitisation and volumes of digital transactions

currencies are considered private property, and attracts taxes the same as sales of land. Cryptocurrencies are legal in Canada, but banks are banned from dealing with cryptocurrencies. In the EU, it is pretty complicated with multiple bodies regulating certain aspects of cryptocurrencies across EU, and individual countries having their own regulatory bodies as well.

Depending on the mandate of each regulatory body, there are regulations covering those specific aspects about the cryptocurrencies. For example, the European Insurance and Occupational Pensions Authority

(EIOPA) looks into how cryptocurrencies interact with the insurance sector only. By and large, cryptocurrencies can be considered unregulated in the EU. Some countries tax mining of BTC, in others, those dealing with BTC have to comply with anti money laundering norms. It is incredibly complicated. In Australia, Russia and India, they are considered virtual currencies,



Example of celebratory posts on twitter after the ban was lifted

during the pandemic. The details of the bill are not yet released, and the most recent news stories even as the magazine is going to print indicate that the bill might not even be tabled in the current session, as the specifics are still being worked on.

Around the world, Bitcoin is actually treated as different things. In China, the regulations are similar to those for in game items or in app purchases, but bitcoin is illegal in China (legal in HK). In the UK, cryptocurrencies are considered similar to the many private or complementary currencies that already existed such as Stroud pound and Bristol pound. The idea for these currencies was to encourage town level local economies, with currencies that are accepted only in that town. In the US, private currencies are banned, but crypto-

which by default implies that the currency is controlled by developers, is unregulated, and is used by members within a virtual community among themselves. Australia says it is none of their business what individuals do with cryptocurrencies. Russia has banned it as it is also considered a surrogate currency which is illegal in Russia. So the regulations around the world are not really uniform, and every regulatory authority is finding it a challenge to keep up with the changing landscape. For example, there are few, if any regulations on non fungible tokens, futures contract, token fraud, blockchain forks or required levels of security for crypto assets. One of the few countries to actually call it what it is, is Bangladesh, where it is called a crypto currency, and also where it is banned! 🇬🇧